LAUNCH OF AWARENESS ACTIVITIES FOR BUSINESS LICENSING (DEPLOYMENT AND USAGE OF ELECTRONIC PAYMENT CHANNELS) REGULATIONS

16th AUGUST 2022

Our Guest of Honour, The Governor, Reserve Bank of Malawi, Dr Wilson T Banda

The Principal Secretary – Ministry of Trade – Mrs Christina Zakeyu Chatima

The Director, National Payments System, Mr Fraser Mdwazika

The General Manager – Mpamba, Mr Christopher Sukasuka

The CEO for NATSWITCH, Mrs Gertrude Kadumbo

The Deputy RBM Governor, Mr William Matambo

Distinguished Ladies and Gentlemen

All protocols observed.

We are greatly honored to be recognized and invited here to participate in the awareness campaign for business licensing, deployment, and usage of electronic payment channels by The Reserve Bank and The Ministry of Trade.

As you are aware, mobile money is the largest financial service in Malawi with over 6 million active customers collectively, and over 130,000 agents across the country. This is a clear demonstration of our commitment to ensure digitization

of payments is happening in Malawi, and that the country accept mobile money as a mode of payment of choice.

While the Malawi population is accepting mobile money as a currency of choice, and are using the service for person to person transfers (P2P), bank to wallet (B2W) and wallet to bank (W2B) services as well as some bill payments: there is still some work to be done for merchants to fully accept mobile money as a priority mode of payment and that is why, we are interested in accelerating the merchant acceptability of mobile money as priority mode of payment for goods and services. To this day, thousands of traders in Malawi, both registered and un-registered are not onboarded on any digital payment platform. This is an opportunity lost for all players in the industry including Government.

Today, while we have millions of transactions monthly on merchant payments, cash is still prevalent. Considering the number of transactions between the population and small-scale traders, smallholder farmers and the agri-business sector and the population as well as the government, there is an opportunity for growth of digital transactions in these sectors amongst others. We as mobile money operators, have been challenged, and are in the process of increasing mobile money use cases so that we digitize every transaction in the country.

Our guest of honour The Governor, as financial service providers, we continue to innovate, and we have plans, and products to address the cash collection challenges faced by small scale traders, and all other businesses in the country. We understand their need for access to the funds collected as they trade, order more goods from their suppliers, and interact with their customers and suppliers on a day to day basis. We understand their need to safeguard their hard-earned sales revenues. And we also understand their need to receive payments instantly in a secure environment. That is why it is our primary objective to interact with all formal and informal traders in the country to onboard them on our platforms so that we provide them with solutions to run their business efficiently by digitizing their payments. These solutions will give convenience to the SMEs and the customers, as well as widen the tax collections by Government while at the same time, reducing the pressure on all players in the industry who are related to management of cash.

Secondly on Agriculture. As we are all aware, Malawi is an agro-based economy. However, this is the sector with very low mobile money penetration. Today, we still have agri-business players financially interacting with producers on cash basis. We have agro-dealers operating in the rural areas collecting large sums of cash from sales revenues. This is not only risky, but it is costly and less

convenient. Mobile money platforms have cash collection solutions for such businesses that are very secure and convenient for these partners. It is for this reason that today, we are very grateful to the Reserve Bank for giving us this opportunity to be part of this campaign. We hope to interact with these partners and onboard them on our digital platforms during and after this campaign.

Our appeal to Government. Government is the biggest cash collection partner. This appeal includes local assemblies and mainstream government collections. Why should we have local assemblies collecting cash for services? Today, we have market fees collectors collecting cash and remitting the same to the assemblies at two-week intervals by making long trips to the DCs offices. This is risky and costly. Why should a trader travel long distance to the assembly offices and queue just to renew their business license? Government should be in the forefront in promoting mobile payments by accepting mobile money as a mode of payment of goods and services. In neighboring countries, for example Tanzania, even road traffic spot fines are paid through *M-pesa*! This maximizes public confidence and revenue collection by the government.

On behalf of the mobile money service providers, and indeed on our own behalf, we would like to assure the Reserve Bank, Government and all stakeholders that we are ready to onboard them and provide cash collection solutions that do not

only provide convenience, security and ease of doing business, but also provide businesses with transaction reports, and wallet to bank services that assist the businesses make business deposits without carrying cash, and queuing at the bank. These solutions benefit the SMEs as they efficiently utilize their productive hours on their core business as well as manage costs as our service fees are affordable and far cheaper than the costs of doing traditional ways of doing business.

Multiple Disbursements Solutions

Apart from providing businesses with cash collection solutions, we also have multiple disbursement solutions. These solutions enable businesses process multiple payments to thousands of recipients at once. These solutions are being used for paying salaries, allowances and processing social cash transfer schemes. The same can also be used to pay suppliers.

Lastly, while the masses may believe the biggest competition for Airtel Money is Mpamba, we would like to change that perspective: our biggest competition is **CASH**:

Let us go cashless. Use electronic payments

Thank you